Switching DID Across Restatement Definitions

Panel A: Switch into Big 4 / columns 1–4

	Any failure / strict	Any failure / middle	Any failure / broad	Restatement / middle
	(1)	(2)	(3)	(4)
Reported effect	-0.024**	-0.086***	-0.095***	-0.081***
	(0.011)	(0.015)	(0.017)	(0.015)
p	0.030	< 0.001	< 0.001	< 0.001
95% CI	[-0.045, -0.002]	[-0.116, -0.056]	[-0.128, -0.063]	[-0.110, -0.052]
Observations	64,707	64,707	64,707	64,707

Panel A: Switch into Big 4 / columns 5–7

	Restatement / broad	Restatement / strict	Violation
	(5)	(6)	(7)
Reported effect	-0.090***	-0.011	-0.016*
	(0.016)	(0.008)	(0.008)
p	< 0.001	0.158	0.062
95% CI	[-0.121, -0.058]	[-0.026, 0.004]	[-0.032, 0.001]
Observations	64,707	64,707	64,707

Panel B: Switch out of Big 4 / columns 1–4

	Any failure / strict	Any failure / middle	Any failure / broad	Restatement / middle
	(1)	(2)	(3)	(4)
Reported effect	-0.013	-0.038	-0.018	-0.050
	(0.025)	(0.035)	(0.038)	(0.031)
p	0.614	0.275	0.626	0.105
95% CI	[-0.062, 0.037]	[-0.107, 0.031]	[-0.092, 0.056]	[-0.111, 0.011]
Observations	3,664	3,664	3,664	3,664

Panel B: Switch out of Big 4 / columns 5–7

	Restatement / broad	Restatement / strict	Violation
	(5)	(6)	(7)
Reported effect	-0.028	-0.027*	0.004
	(0.034)	(0.015)	(0.021)
p	0.399	0.069	0.852
95% CI	[-0.094, 0.038]	[-0.056, 0.002]	[-0.038, 0.045]
Observations	3,664	3,664	3,664

Notes: SE clustered by firm. Nine audit-failure controls and mis_dummy. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.